The Price of the Past: Examining the Consequences of Odious Debt

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Post-apartheid SA and debt

Post-Saddam Iraq

The New York Times

'Squeezing blood from a stone'

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By Harald Schumann, der Spiegel

June 2, 2003

Should the Iraqis assume responsibility for their former dictator's billions in debts? The dispute among Europeans, Russia and the United States on debt forgiveness is becoming a key to the future of the country. The US government has the better arguments in this respect, both economically and morally.

Post-Saddam Iraq

Financial Times Coalition Provisional Authority + Add to myFT

Why Iraqi debt is no longer a write-off

By Joanna Chung and Stephen Fidler JULY 16 2006

For more than a generation, numerous national governments, investment banks, hedge funds, construction companies, suppliers and even individuals had something in common: Saddam Hussein's government owed them money.

Odious debt concept

- New regimes are often saddled with predecessor's debt
- Odious debt claims
    1. debt incurred by a preceding non-democratic government
    2. debt used for particularistic interests
    3. knowledge by creditors

Odious debt research

- International Law
  - Difficulty of defining regimes (Gelpern 2007)
  - No legal precedent (UK vs Costa Rica)
- Economics
  - Normative work (Kremer & Jayachandran, 2002-2006)
- Politics/IR??

Research puzzle

- Puzzle: Why don't leaders invoke odious debt claims more often?
- Potential benefits:
  - Blame past dictators or colonial powers
  - Garner popular support
  - Alleviate financial pressures
- Yet, such claims are rarely made in practice - We've looked!

Examples of odious debt claims

- Ecuador 2009:
  - President Rafael Correa established Public Credit Audit Commission
  - Defaulted on $3.2 billion, restructured other debt
  - Reduced debt burden by 40%, negotiated 68% "haircut"
  - Slogan: "Life before debt"
  - Political benefits: electoral success, increased social spending
- Argentina 2003 & 2019:
  - Political rhetoric to appeal to supporters for hard-line negotiations

Argument: Why avoid odious claims?

- International financial consequences deter leaders from employing odious debt claims
- Creditors will punish odious debt claims:
    - Signals willingness to work outside international norms
    - Public may apply odious debt reasoning to current debts $\rightarrow$ making reform and repayment more difficult
- Expectations: Restricted credit access and higher borrowing costs

Empirical Strategy

- Challenge:
  - Rarity of odious debt claims
  - Strategic selection into Odious claims

Empirical Strategy

- Solution: Examine Norway’s 2006 debt relief action
  - Unilaterally forgave debts of five countries from the 1976-1980 Ship Export Campaign
  - Labeled original loans as "illegitimate"
  - Effectively imposed odious debt claim on these states
- Comparison Group: Countries receiving conventional Norwegian debt relief

“Rio Chone” var et av fire skip som ble solgt til Ecuador.

Financial Times Peru + Add to myFT

Norway debt cancellation hailed by activists

By Krishna Guha in Washington OCTOBER 4 2006

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The idea that countries have an obligation to lend responsibly to developing nations received a boost this week with Norway’s offer

Norway's Debt Relief Countries

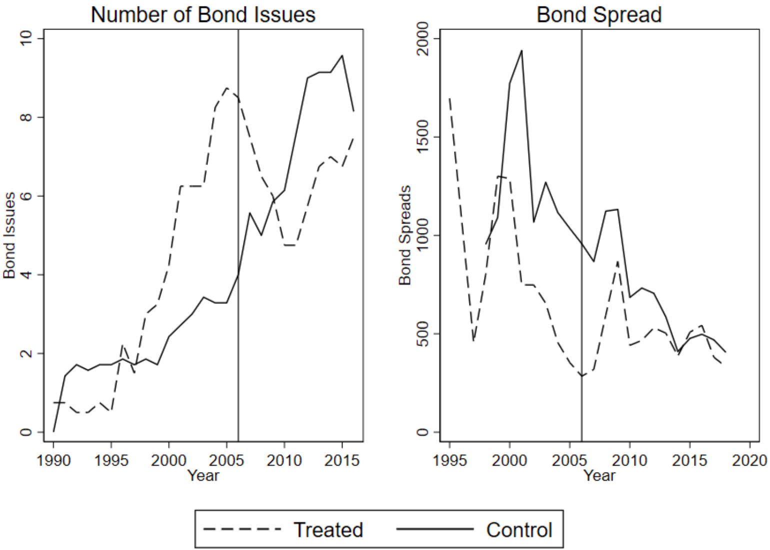
Table: Norway's Debt Relief Countries

Labeled Odious in Oct. 2006		
Jamaica	Peru	Egypt
Ecuador	Sierra Leone	
Debt Relief		
Serbia	Liberia	Benin
Senegal	Côte d'Ivoire	Gambia
Ghana	Guinea	DR Congo
Tanzania	Pakistan	Malawi
Indonesia	Montenegro	

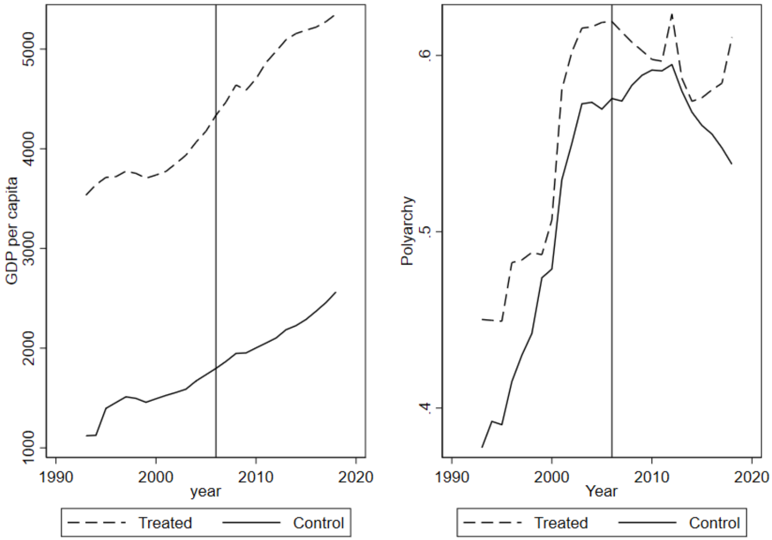
Data and Measures

- Dependent variables:
  - Bond issuance (binary, count and value)
  - Bond yield spreads
- Treatment variable:
  - Receiving debt relief from Norway's Ship Export Campaign in 2006
- Control variables:
  - GDP per capita, Polyarchy score, debt levels, political stability

Raw Data: Bond Issues and Spreads



Characteristics of Forgiven States

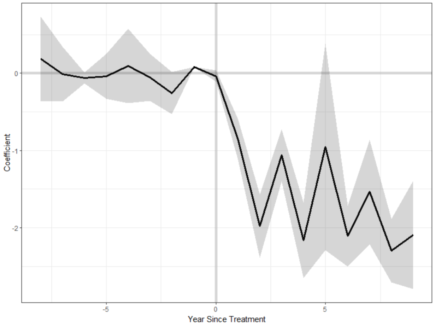


Main Results

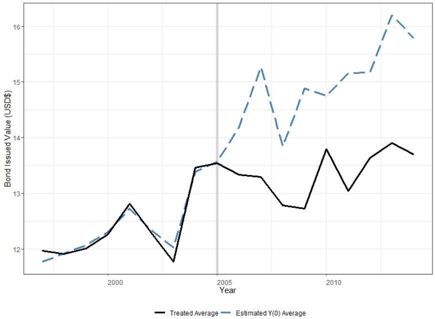
	Any Issue (1)	Any Issue (2)	Total Issues (3)	Total USD (4)	Bond Spread (5)
Odious	-0.478*	-0.522*	-1.817*	-7.647*	316.598*
	(0.072)	(0.105)	(0.672)	(2.183)	(152.048)
R2	0.52	0.60	0.85	0.66	0.76
N	297	285	275	275	180
TWFE FE	Yes	Yes	Yes	Yes	Yes

* $p < 0.05$; Standard errors in parentheses.

Generalized Synthetic Control Results



(a) Estimated ATT



(b) Treated and Counterfactual Bond Values

Figure: Generalized Synthetic Control

Robustness Tests

- Excluded Ecuador from the sample
  - Results remain consistent and even stronger
- Alternative samples
  - Ship Export Campaign recipients
  - All Norwegian loan recipients
  - All developing countries (non-OECD)
- Parallel trends assumption
  - Examined raw averages, linear trends, and event study plots
  - No evidence of pre-existing trends biasing results

Conclusion

- Odious debt claims incite severe market consequences
- Norway's 2006 debt relief program had negative market effects:
  - Restricted future debt access
  - Increased debt prices
- Explains why leaders avoid odious debt strategies

Questions unanswered

Why such a reaction from the markets?

- Markets learn new information about these 5 countries
  - Not clear what information is revealed that would not be revealed in other debt relief processes
  - Expected shorter-run consequences
- Norway's action provided a blueprint for domestic groups to oppose repayment
  - Ecuador's 2007-09 investigations mirrored Norway's
  - Galvanised debt advocacy groups, even in other countries.